

Fearnleys Dry Bulk Weekly

May 8, 2024





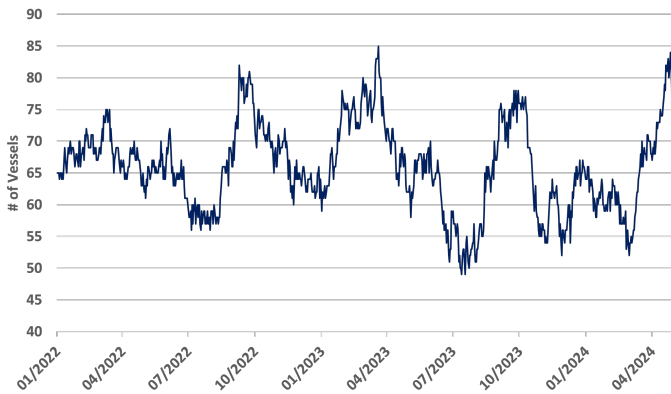
Capesize/Newcastlemax

Last week, we suggested that the market downtrend that began in mid-March could reverse within the next month. Still, we had expected the turnaround to come a bit later than what has been the case (late May/early June).

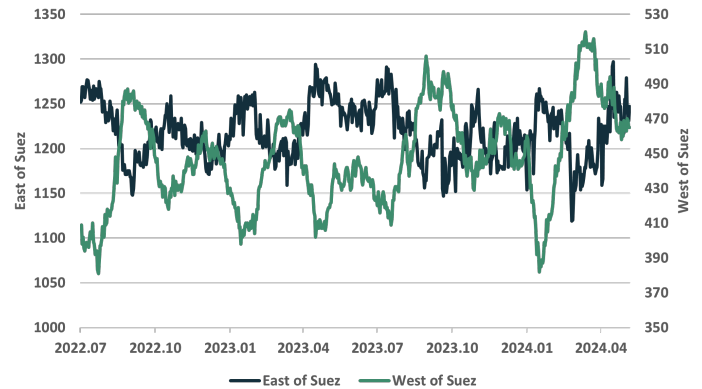
The reason for expecting the turnaround to come in late May or early June was basis usual lead times fundamental improvements in China has on the market. That the market reacted quicker than usual to improvements in China shows that underlying fundamentals are very firm.

Still, given that the market upturn is a bit "ahead of schedule" there could be a cool-off into June.

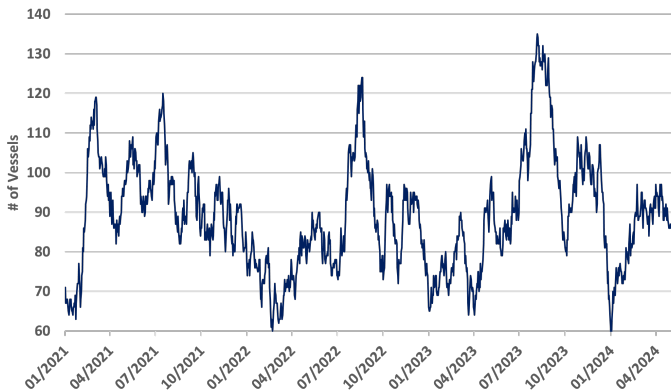
VLOCs Heading to or in Brazil



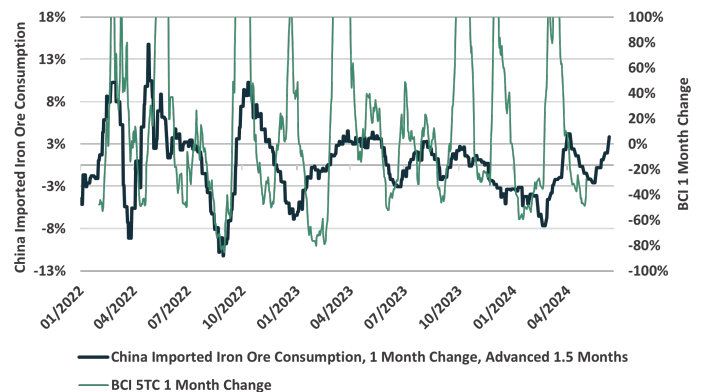
Capes/Newcs East of Suez and West of Suez



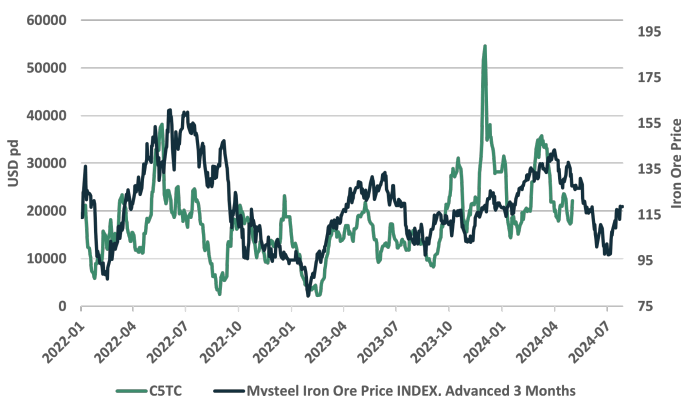
Capes/Newcs Heading to or in Brazil



China Imported Iron Ore Consumption Lead vs BCI5TC 1-Month Change

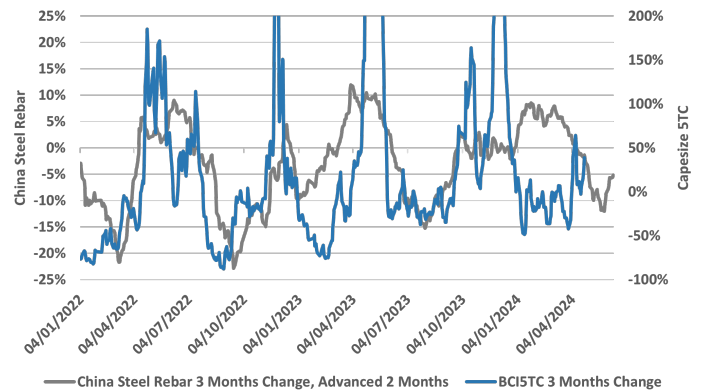


Iron Ore Price (Moved 3 Months Forward) vs BCI5TC





China Steel Rebar Price 3 Months Change (Moved 2 Months Forward) vs BCI5TC 3 Months Change



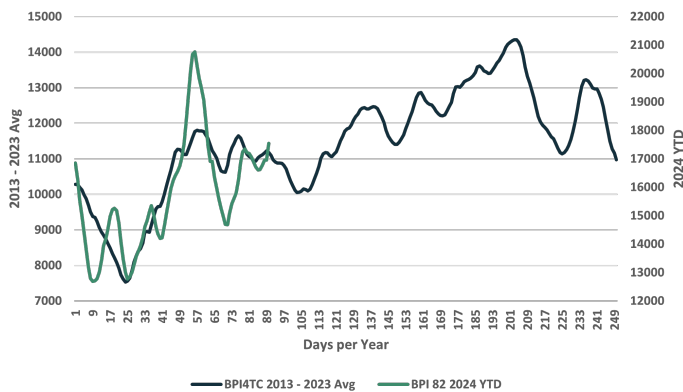
Panamax/Kamsarmax

Last week, we suggested the sideways/slightly downwards trend would continue.

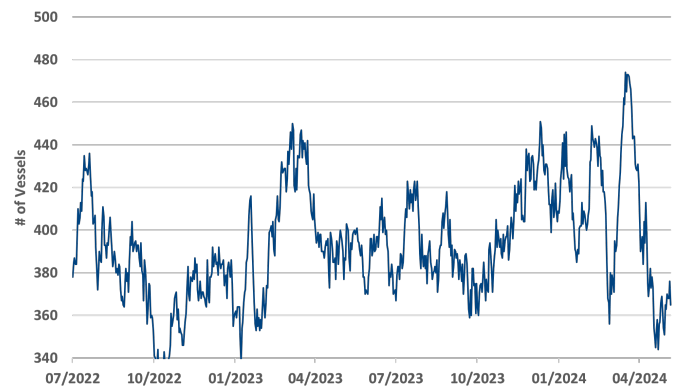
However, the market has continued to push upwards, and more so in the Pacific than the Atlantic, which is slightly surprising given the high share of the fleet positioned East of Suez combined with the seasonal lull in coal demand.

However, the market movement is still not completely out of line with seasonality. This could mean there will be a drop the next month before a rise to year-to-date highs in Q3.

Panamax/Kamsarmax Seasonal Average Market Movement



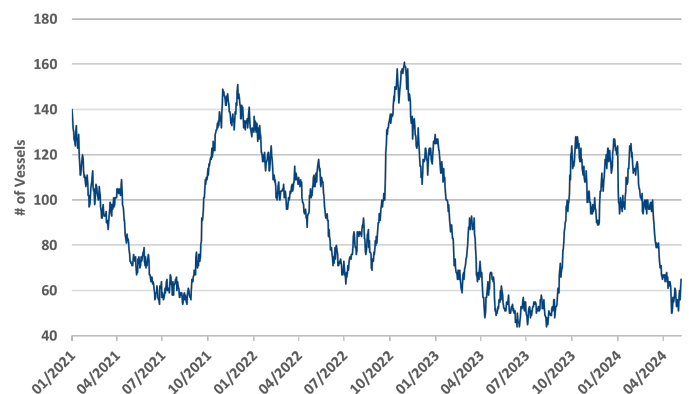
Panamax/Kamsarmax Heading to AUS, IDN or RUS (Pac)



Panamax/Kamsarmax Heading to or in the South Atlantic



Panamax/Kamsarmax Heading to or in the US

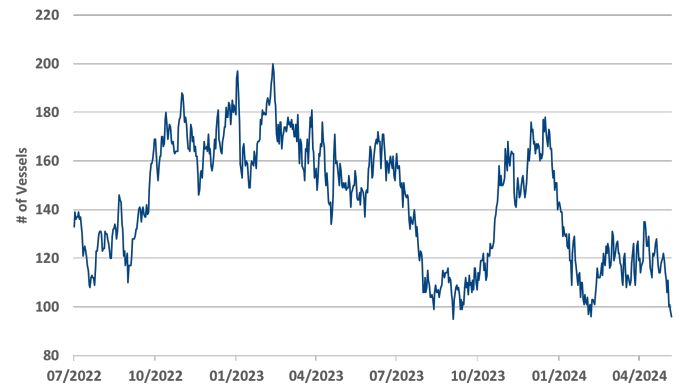




Panamax/Kamsarmax Vessels West of Suez / East of Suez



Panamax/Kamsarmax Heading to or in Black Sea/Med



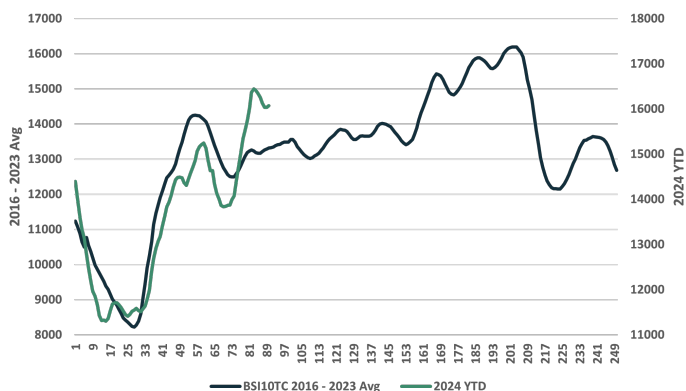
Supramax/Ultramax

The market is still trending sideways, in line with seasonality.

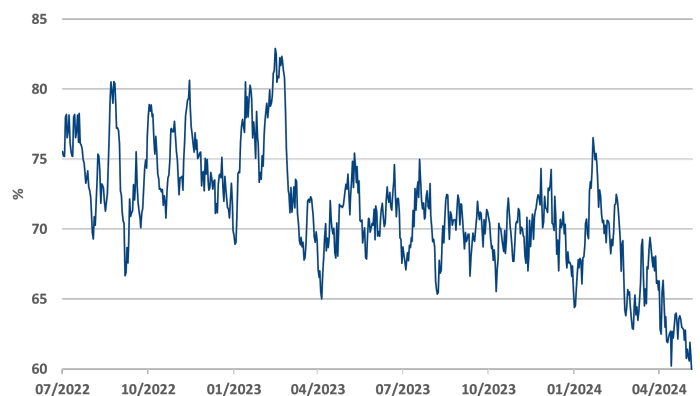
There is little reason to expect a change to this until perhaps late June when Asian coal demand increases.

Macro indicators like commodity prices and OECD indices strongly suggest markets will climb higher during the second half of the year.

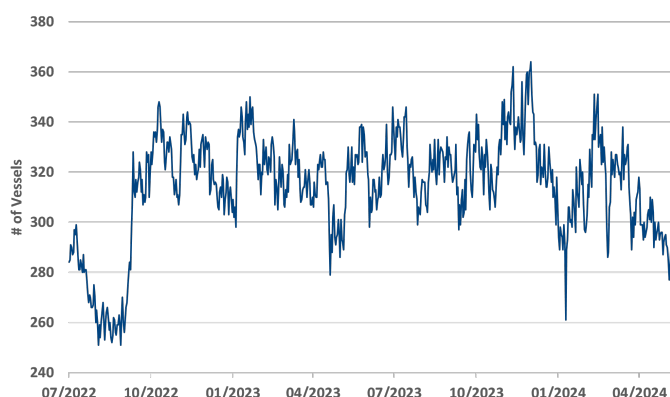
Supramax Seasonal Average Market Movement



Supramax/Ultramax Ballaster/Laden Vessel Ratio



Supramax/Ultramax Heading to or in AUD, IDN or ZAF

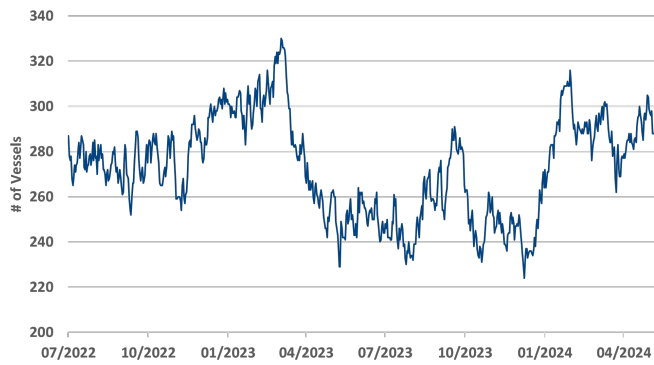


Supramax/Ultramax Heading to or in the South Atlantic

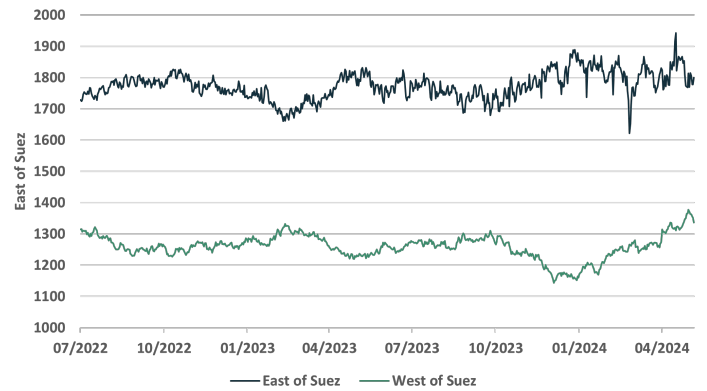




Supramax/Ultramax Heading to or in the North Atlantic/Europe Continent



Supramax/Ultramax East of Suez and West of Suez





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